A "Perfect Storm" For Markets Lies Ahead Should Japan Repatriate Its US Assets | Lyn Alden

Podcast: Thoughtful Money

AI Executive Summary

Core Thesis

The episode centers on the current state and future outlook of the AI market, specifically focusing on its potential for a downturn and its broader implications on the global economy. Lynn Alden, an investment strategist and author, discusses the risk of a market correction due to the prolonged growth of the AI trade, the impact of political and economic factors, and the diversification strategies necessary for investors. The discussion also delves into the potential for a bear market, the role of bonds in the current market environment, and the geopolitical implications of AI development, particularly in relation to the U.S. and China.

Key Arguments & Data

1. **AI Market Correction Risk**:
2. **Speaker 02**: The AI trade is "getting longer in the tooth," suggesting a potential for a market correction.
3. **Speaker 02**: The market is already pricing in some of this risk, as evidenced by the lower earnings multiples of AI-focused companies compared to traditional ones.

4. **Speaker 02**: The concentration of market capitalization in tech, particularly in the U.S., makes a significant downturn more impactful.

5. **Political and Economic Factors**:

6. **Speaker 02**: The midterms may have contributed to market volatility, with concerns about increased regulatory pressure on AI.
7. **Speaker 02**: Potential for a "mini-crisis" in Asian currencies and repatriation of capital could exacerbate market volatility.

8. **Speaker 02**: The U.S. may face a "perfect storm" if global market capitalization is unusually shifted to the U.S., combined with slowing growth and increased repatriation of capital.

9. **Bond Market Dynamics**:

10. **Speaker 02**: The current yield environment makes bonds more attractive, especially for lower volatility investors.
11. **Speaker 02**: Bonds face challenges due to inflation and dilution, making them less attractive over the long term.

12. **Speaker 02**: The Godzilla trade, involving the repatriation of Japanese assets, could impact global capital flows and US markets.

13. **Equities and Asset Allocation**:

14. **Speaker 02**: Equities remain attractive, particularly in the U.S. and global markets, with sectors like U.S. financials and regional banks still offering reasonable valuations.
15. **Speaker 02**: The Orange Juice project, focused on buying low-multiple, cash-flowing businesses, represents an interesting opportunity for investors.
16. **Speaker 02**: Bitcoin and gold are seen as potentially attractive assets, with Bitcoin still offering interesting fundamentals for the next cycle.

Actionable Takeaways

1. **Diversification**:
2. **Investors should consider diversifying their portfolios to include international assets, bonds, and alternative investments like private equity.

3. **Invest in assets that offer reasonable valuations and growth potential, such as U.S. financials and regional banks.

4. **Risk Management**:

5. **Be prepared for a potential bear market or sideways market, especially given the current market environment and the risk of AI market corrections.

6. **Monitor geopolitical developments, particularly in Asia, as they could impact global capital flows and market stability.

7. **Asset Allocation**:

8. **Consider investing in the Orange Juice project for opportunities in low-multiple, cash-flowing businesses.

9. **Keep an eye on the 4,000 level for gold and the 70s for Bitcoin, as these levels could signal new trends.

10. **Professional Guidance**:

11. **Seek advice from a professional financial advisor to navigate the current market landscape and implement strategic investment decisions.
12. **Take advantage of free consultations offered by financial advisors endorsed by Thoughtful Money to ensure informed decision-making.

Diarized Transcript

SPEAKER_02: I think it becomes more of a risk when the prior discussion we had starts to happen, which is that the AI trade gets long in the tooth. I think that at that point, you risk having a perfect storm where if you look at global market capitalization, it is unusually shifted to the U.S. right now. But with some of those fundamentals do start to dry up and a lot of the kind of the growth starts to slow down because we kind of build out what we need to. At the same time, when you have potential Asian, obviously, currency mini-crisis and kind of more of an interest in repatriation, that becomes a one-two punch. So am I worried about it in 2027? Not necessarily. But yeah, the longer you go out, the more concerned I would be. Welcome to Thoughtful Money. I'm Thoughtful Money founder and your host, Adam Taggart, and we have the great good fortune of talking today with investment strategist, Lynn Alden, who also happens to be a prodigious author. You may know her for her

SPEAKER_00: Book Broken Money, why our financial system is failing us and how we can make it better, but also for her science fiction. Lynn, how are you doing? Good, how are you? Good, good. Real quick, how have the book sales been going, especially in the fiction world?

SPEAKER_02: It's going well. It's certainly it's a different market, you know, not a ton of audience overlap, but it's been certainly been a fun ride this year. And I already have a second sci fi book in currently in revision. So it works. Oh, wow. It's been a fun side quest. Wow. Well, you're making a lot of people really excited with that news. I got to tell you, Lynn, you are so prodigious in terms of the.

SPEAKER_00: analysis that you create, but also you are just in such high demand. How do you have excess cycles to write these sidequest fiction books? So it comes in waves. Basically, there are certain things that I

SPEAKER_02: in my professional life, finance-wise, that I have to do on a recurring basis. And the fiction is more in terms of big waves. So there will be times where I'm doing zero work on it and then times that I'm kind of

working evenings on it because I got like a wave of kind of creativity. And so it comes in bursts and otherwise isn't really a burden. And if anything, I just think, I mean, people obviously have to have hobbies.

SPEAKER_00: We can't live in spreadsheets 24-7. And so if anything, I find it recharges my batteries for the financial work to kind of get some creativity out of my head. Exactly. Spend some time the creative side of the brain. I totally get it. I'm just assuming that those evening writing sessions go late into the evening because you're so busy with the rest of your life there. But anyways, we're all more fortunate for it. So thank you. Look, lots to talk about with you here. I got a bunch of questions for you ranging from inflation, to the elections, to bonds, to Japan, but if we can, we're recording this on Monday, November 9th, which is just a couple of days after the previous Thursday where the markets had their biggest one-day down day since the Liberation Day plunge back in April of 2025. and that was a standout day compared to years before that. So it was a pretty big bloodshed day in the markets. What's your general assessment of that? Was that just sort of a one-day purge, sort of like a rogue wave, or do you see it as a harbinger of greater market volatility to come? Good question. I guess I would lean toward a one-day purge. I think risk got over its skis for a period of time, and some of those shocks are necessary.

SPEAKER_02: On average, it obviously depends on the country in question. I think on average, politics are often overstated in terms of their impact on markets. And so I think while there is there is obviously new information from the midterms, for example, I'm not I'm not shuffling around my portfolio based on midterm results, things that I was bullish on. I'm still bullish on things that I was bearish on. I'm still bearish on. I think. In the next two years, we probably do have somewhat more volatility ahead. In general, I think the the AI trade is, while I don't think it's over, I think it's just getting it's getting longer in the tooth and that the explosive growth rates will be slower, even without increased opposition from politicians. Actually, one of the points I made in my in my recent research is these hyperscalers in their recent quarter or two are already getting pushback. from investors about how much they're spending on CapEx, on AI related CapEx. And so the fact that there's, you know, potentially more politicians in power with anti or just, you know, more concerned around

data centers, anti data center positions, they could almost use that as an excuse to, you know, instead of saying, hey, maybe, instead of saying, hey, maybe we over committed, some of them can say, hey, you know, we're, we're bullish on this industry, but we have to go a little slower because you know, there's more regulatory pressure out there. So I think the interesting thing was this was already an issue from the private sector and the midterms kind of, if anything, potentially slightly solidify it. All right. And so a couple of questions around that. One, does that mean that you think Thursday's plunge was due to

SPEAKER_00: post midterm concerns about AI, meaning we got a bunch of new politicians, particularly governors, who have more control over this, that are going to slow the AI capex rollout, or was it just coincidental in terms of timing? I do think it's related. I mean, especially because when you look at the market, the different sectors performance, I mean, the AI trade, the NASDAQ sold off a lot more than the broader market.

SPEAKER_02: I even joked on the day that it's one of those days where value investors were down less than the growth investors. And it's kind of like a value investor win in a kind of a joking sense. But the point is that the concentration of the bloodbath was really in those tech names. Whereas if it was unrelated to that industry, we would see a broader sell-off. And so that's why I view it.

SPEAKER_00: was looking on that day to see, is this just a tech wreck? And it really wasn't. I mean, if you look at the S&P, I think it closed the day down like around 4%, a little over 4%. But I think the equal weight S&P closed at like three something, down three. So it wasn't like it was all just in tech. It did seem to pull the value. There weren't many places to hide that day besides like precious metals and I think oil did pretty well.

SPEAKER_02: And of course, oil was, I think, just related to what was going on in the Gulf. So it wasn't just tech only. Now, value was hurt less on a relative basis. I guess you could call that a win, but it wasn't like they emerged unscathed. Yeah, no, I agree. And I think, I mean, so the concentration was in tech, but the broader markets also sold off. I think when an industry is that dominant, right? So tech is obviously a very dominant part of U.S. markets. When it sells off that sharply, It's almost

always gonna pull down the broader space with it just because that so much capital is already there Any funds that are in trouble are selling whatever they have to at that point, you know on leverage Obviously, they're down, you know if if the Nasdaq sounds 6% if someone's levered long In certain names that they could be down way more that day and they can be selling things that they don't want to

SPEAKER_00: be selling that are unrelated. Yeah, that's true. Sort of the margin call effect. Even if you're not yet getting the margin call, you're just freaked out and you're kind of liquidating everything. Yeah, exactly. Okay. So much revolves around AI. And to my knowledge, correct me if this is wrong, even though we got this downdraft on Thursday, and the markets have been up a little bit since, so it's starting to recover, it looks like, earnings estimates have not I don't think, materially come down at all yet in this space. I think that's the real danger, if you will, and I'm not trying to sell trouble here, but when so much of the market cap of the major indices is made up of this space and so much of GDP growth is made up of the AI capex spending that's going on, if there's a material reduction in that capex spending, the downward repricing is going to have to be pretty prodigious, I would imagine, right? And so I'm not sure we've seen a true kind of clearing out based on some sort of acceptance from Wall Street that, all right, AX CapEx spending looks like it's going to be 20% less than we thought it was going to be for the next two years, so we got to ratchet down for that yet. So is that still a shoe to drop in your opinion here, if earnings estimates haven't come down yet?

SPEAKER_02: Good question. My base case would be not this year or not the next 12 months. I do think that we will have that cycle. I mean, we haven't eliminated cycles. AI doesn't grow to the moon in a straight line. I think there will be a big clearing event at some point. I think it's probably not 2027. But when you started getting a little further out than that, I think it's where that risk starts to materialize. What's interesting is that to some extent, the market is already pricing in the possibility of that. So, for example, Nvidia trades at a lower earnings multiple than Coca-Cola. Right. And so so Wall Street has this set of, you know, next next two or three year earnings estimates penciled in. And if anything, retail investors are saying, are you sure, though? Right. Are you positive? And so there's not really an

over bidding for. Kind of the current earnings already penciled in there's already actually some wiggle room same thing for Micron I mean, so the classic way that that ram stocks trade they trade like commodity producers Where you know when Ram prices are high it's treated as like, you know, kind of a copper miner, right? So so investors say okay, right like we're gonna pay very low multiple because you know, we're near peak margins and peak revenue and earnings you have to price in the upcoming trowel that we all expect to happen and what's interesting is If you look historically with Micron, I mean, the stock sells off months ahead of their revenue selling off or going down, I should say. Whereas at the current time, there's already been a pretty sharp sell off. And yet their revenue as kind of penciled in for twenty twenty seven, like their backlog is already mostly sold. And so if anything, if this if the peak's already in, it would likely be a far earlier peak than a typical cycle. Now, obviously, this is not a typical cycle in many ways because it's a far larger cycle. There's a structurally higher floor for chips in general, probably indefinitely, but there's still cyclicality in the market. So whether you look at Nvidia investors or Micron investors or across the board, there's actually not a ton of enthusiasm. despite really big market caps compared to the actual earnings and revenue and free cash flow that they've had. I think there actually ironically is some jitteriness in the market that is not fully on board with the Wall Street earnings estimates. Okay. So a couple of questions on that then. Does that mean that you are currently seeing kind of good value in some of the AI stocks right now? So I've generally been avoiding the hyperscalers. because except for Microsoft, they've all gone free cash flow negative. Yeah. And generally speaking, in public markets, I want I want profitability. I'm going to if I'm going to invest in non profitability, that's what I have the venture fund for that I engage in. So in public markets, I almost always want profitability. And that's why my you know, I used to be I used to bullish alphabet after nearly a triple, you know, when they when they started hitting 300. uh dollars a share and they were also ramping up capex i was like okay i'm kind of you know this this might be a selling opportunity uh the semiconductor space is where i'm i'm still fairly constructive that's where profitable growth has been that that you know that that's where all these dollars will ultimately end up uh and and as i've been saying that you know they're not their valuations are not that problematic uh so i would describe myself as still a cautious bull uh in the semiconductor space which

is that when there are sell-offs um i'm still i'm i have a probably a bullish perspective from those trowel levels with a 12 month view. But I also tend to fade, you know, when they've had, say, a month of just going straight up. Right. I get nervous when that happens, but I do get re-bowled up a little bit when they do have a correction.

SPEAKER_00: Okay and I assume that's because you think the mega trend is in place and likely to remain in place for at least the next 12 months. So presumably if there was something that challenged that outlook for you, you'd maybe change your opinion, but right now your default assumption is the juggernaut is going to continue at least for the next 12. Yeah, if I started to see material evidence that instead of this cycle peaking in 2028 or 2029, if it was actually going to peak in 2027, I'd be more cautious around the whole space. Okay. I'm going to ask just about a couple other AI threats, but before I do, I just want to be balanced here and remind the audience that we've had people on the channel recently who have asked the question, does it look like the AI megatrends in danger of getting derailed? And their honest assessment is no, looking at different data sets. So one, Jan Van Ek. he has basically looked at demand for compute, and it still far outstrips supply. And so for him to start to get bearish that there's going to be some headwoods in this mega trend, he would want to see some slowing down of demand for compute first. He's just saying, I'm just not seeing it, at least not yet. Yeah, that's why I view it as well. Similarly, Craig Fuller, CEO of FreightWaves, sort of the other part of the economy, the economy of real things. he looks at the shipments of all the physical capex that's going out there to build these data centers, and it's a similar story to Jan. He says, that's just not slowing down right now, and we would expect to see some sort of slowdown in that. And to a certain extent, it might be a harbinger, like an early detection system. If you're going to start pulling in your capex spending, the first thing you'll do is just place lower orders and there will be less stuff being shipped, but he says right now we're not seeing any of that. So I totally see your side of the coin, Len, which is until we see signs of weakness like that in the underlying data, the megatrend is still likely to continue. That being said, a couple concerns that have been in the headlines of late. One is, you mentioned that NVIDIA's PE ratio is lower than Coke's right now. There are a lot of questions about the quality of these earnings estimates. One is just the quality of earnings. It's still an ongoing debate, but

how circular the financing is in this space. Are these true earnings or is it just cash being recycled around the ecosystem, masquerading as earnings? Then secondly, the business models of the AI, certainly the frontier companies, but I think other parts of the AI ecosystem as well, they're still being determined in real time and it seems that they are trending downwards. So for example, cost to compute is going down on average, one probably just because of some efficiencies, but more importantly, a lot of companies are switching based upon what tasks they're running. the 85% of routine tasks, yeah, let's use the open source models that are practically free, and we'll only reserve our purchase of frontier model compute for the stuff that's really important. And of course, that places downward pressure on the frontier models pricing. So how concerned are you, if at all, that the E in the PE ratios for these companies needs to have a big asterisk next to it?

SPEAKER_02: So I would segment that by the part of the industry. So, for example, in semiconductors, I would say the earnings are quite good, meaning that if you look at just raw free cash flow, they really are raking in the numbers pretty much that they say they are. And, you know, there are obviously there are risks with vendor financing, you know, basically chipmakers funding some of their own customers. That's still, while it is a reasonable concern, it's still a fairly small percentage of their balance sheet. overall. And so I think that that is something to be concerned about again when the mega cycle kind of comes to a trowel in the years ahead. But I'm not that worried yet around the semiconductor companies. To your point around frontier models, I am quite concerned around frontier models. I wouldn't pay a trillion dollar valuation for the top. frontier model companies, I think there's very little economic moat there. Basically, their moat is basically saying that we're six months ahead of our open weight competition. And is that worth a trillion dollars, especially as they are also inherently money losers? I'm not bullish, and I do think there's a risk longer term there. And I mean, a lot of data centers, for example, when someone's willing to put all this hardware in place and all this money, like real hard money, they want these long-term commitments from companies and they generally don't want to sign directly with the frontier models. They want to sign with the hyperscalers because they were confident that Microsoft's going to be around 10 years from now. that they're more certain around that, despite their current wave of free cash flow negative. They think, despite

that risk, I'd rather have Microsoft as a counterparty. And I think that's a reasonable outlook. So again, it's a space where there are a lot of sober minds playing this pretty cautiously, despite the fact that obviously parts of the market are bublicious. Anytime you have a big boom like this, you're going to get over your skis. But there are whether it's we talked about like retail investors already kind of discounting some of the Wall Street earnings estimates to, you know, people doing these deals, making trying to make sure that their counterparties are serious and trying to go up the counterparty stack. I think that those are good signs. Another kind of longer term issue around the hyperscalers is they have, you know, obviously they're they're They're becoming fee cash flow negative. Their fortress balance sheets are now a little bit more stressed as some of them are issuing debt rather than just, you know, kind of funding from earnings. But then they're also getting into these lease obligations, which doesn't show up in debt quite the same way sometimes. It doesn't show up, for example, in bonds, but it's still a liability that they've committed to. And so, you know, there is certainly some book shuffling going on. And so far, it's not really that much in the semiconductor space. It's elsewhere. Okay. I guess my question on that though is just how worried, if at all, are you that the chickens will come home to roost for that at some point? After a handful of years, probably. But also again, it depends where so for example semiconductors, I think will have a downturn I mean semiconductors are cyclical industry Especially especially memory, but it does more broadly. They are I think they were absolutely have a downturn I think their balance sheets will be intact when it happens I think hyperscalers will probably have a period of stagnation And where I'd be most concerned is the models themselves because again, you have your trillion dollar valuations

SPEAKER_00: built on very flimsy moats that are also currently profitable with no line of sight to profitability. So it's hard to justify what's being paid for there almost at all at the end of the day. Okay. And I'm curious, do you feel inevitable? There's a number of people I talk to who just think it's inevitable that we're going to have this period of, I'll call it dark compute, which is just every technology transition that we've gone through.

SPEAKER_02: We don't know how much too much is until we passed it. We just say, okay, we overbuilt capacity, right? Do you think that's more or

less inevitable in this one as well? I think so. And again, I mean, we already have lessons from the memory space where they get constrained for a period of time, their margin of profitability go up. And then, of course, they bring on more supply. They eventually contribute to oversupply. And then you have a pretty brutal bear cycle for two or three years. And I think it's going to happen again just from a higher high and a higher low. It's obviously a bigger part of the market now. So for example, when Micron was worth tens of billions and it's going through its crazy cycle that it does, it doesn't really impact the S&P 500. But when it's a trillion dollar company going through those gyrations, it starts to impact things, especially when you combine that with tens of trillions of other semiconductor. company. So I do think that we'll have an overhang. I think any big build out like this, there's no way that you just build the exact amount you need. You're always behind until you're ahead and then when you're ahead, it causes its own problem and you have the hangover. Alright, so when we have the hangover and we don't know when that's going to be, you're placing your bets that it's after 2027 from what you can see so far. Given how

SPEAKER_00: large percentage of the major indices this whole complex represents now. Does that lead you to believe that we'll probably have kind of like a traditional prolonged bear market that would be like multi-year? Because it's hard to imagine the rest of the companies in these indices, even if they did well, like really driving the indices to good positive years if the whole tech sector is going through this

SPEAKER_02: hangover period that you talked about? I think so. Again, I think it's potentially a little bit early for that, but I do think that we are certainly at risk of a multi-year, at least a sideways market. Obviously, people are always concerned around big drawdowns, and those are always a possibility. But the other possibility is just going sideways in a choppy plus 20%, minus 20% range for years. And that's where I think diversification is helpful. That's where I want to be involved. I want to be invested in, say, non-cap weighted indices or I want to be invested in some international markets that are maybe cheaper or I want to be invested in precious metals or Bitcoin or other assets. Like I mentioned, I'm involved in the private venture and private equity space as well. And that's where I want to have

some degree of diversification compared to just the headline market cap weighted indices when this eventually does kind of

SPEAKER_00: run its course. Yeah, and I don't want to imply that in that environment you can't make a positive gain as an investor, but it's going to have to be a much more diversified but much more active approach if you're just a passive index buyer. That's kind of a time of winter for you, correct? Yeah, exactly.

SPEAKER_02: Involved in more value spaces, you can still make money from dividends and more gradual growth. There's potentially option selling strategies where you just benefit from volatility, right? So you're harvesting income. But yeah, in general, a sideways market is not good for passive investors, especially if they're just 100% equity weighted. Right, right. OK. All right, well, look.

SPEAKER_00: We're not there at this winter time yet, this hangover time yet. Sounds like a party. You think odds are it's still going to rage, at least for the next 12 months, unless something orthogonal comes along and knocks it off. So let me ask you about one black swan that's been in the headlines since yesterday, which is Jensen Yang, the head of Nvidia, CEO of Nvidia. revealed that he's then in this adulterous affair with potentially a Chinese spy. One, what does that mean for him? Is he going to get booted from the company or not? Two, what does that mean for Nvidia? Does that make people peel back the covers on Nvidia to see if they've done anything untoward regarding China? But also, there's this risk, apparently, that if he gets divorced, his wife walks away with something like, I don't know. 50 billion, 80 billion in Nvidia stock, be the most expensive divorce in history. But to the extent that any of that gets liquidated, that could potentially be a real weight on the stock itself. Is this just drama, Lin, or is there anything here that actually could have a sort of black swan style surprise to both Nvidia? And if Nvidia is such a key player in the AI ecosystem got compromised, that would presumably have knock-on effects.

SPEAKER_02: Yeah, good question. It's certainly a political drama playing out. I mean, it's not nothing burger to have the, you know, the CEO of the world's largest market cap company, you know, potentially having troubles over his job and potentially having this geopolitical concern with a

potential spy. And so that is certainly an issue. And it is, I mean, the company is down today. The stock is down today, not catastrophically, but it is down. I think it's rational to be down on this news. I mean, even late last week, these headlines were already circling. So just the fact that he confirmed it is kind of the new information. A point that I made online is that a multi-trillion dollar company shouldn't be tied to one person. That's part of why investors are willing to pay trillions of dollars for companies because there's actually a wide economic moat there and there's an organizational structure, there's a ton of proprietary tech. It shouldn't have a supreme key man risk at that valuation. Exactly. If you're in private markets, if you're a startup or you're a smaller company, you certainly do have key man risk. The bigger you get and the more mature the company is, key man risk you should have. And so I view Nvidia as having not a ton of key man risk. I mean, I think it's been well managed. It's not to say that he doesn't contribute to the company, but it's to say that, you know, again, Nvidia is trading at lower earnings multiples than Coca-Cola. And so I think, I mean, investors are already pricing in. risk in various forms, whether it's earnings downturns, whether it's things like this. And I think that's part of what softened the blow today compared to how far it could have been down. I mean, if Nvidia was trading at 80 times earnings or something, you can imagine that the downdraft it would have compared to trading a lower earnings multiple than Coca Cola stock is already. So it is certainly a headline to watch. It's certainly entertaining in a dark way. But I wouldn't necessarily base my Nvidia thesis. off of this, and especially the broad. I wouldn't base my views on an almost 80 trillion equity market off of this, even though obviously it's more impactful to the company. And then when you broaden out from there, I think the impact radius gets more diluted. OK. All right. So right now, it doesn't sound like it's something that's keeping you up too much at night. All right. Last question on AI. So we mentioned a bit.

SPEAKER_00: that there's been growing public pushback on data centers. Presumably, if that really multiplied from here, that really could have an impact on slowing down the AI capex spending. We've had now a bunch of new elected officials get elected on a, hey, I'm going to rein in the data centers platform. We'll see how successful they are. I'm just thinking If that really starts to gain steam, I wonder if this wouldn't be an instance where

the federal government comes in and says, tough, these are going to happen because of national security, almost like on a war footing basis like we were during World War II, where the federal government just said, you know what, cars are important, but tanks and planes are more important. We're literally just making this happen. We're forcing it to happen because the government just may see this as a

SPEAKER_02: an existential arms race that it has to win versus China. What are your thoughts on that? I think it's a reasonable comparison. The contrast I would point out is that in World War II, the country was rather centralized, meaning it wasn't polarized. At one point, Roosevelt had a super majority. That shifted over time. But the point is things went very firmly in one direction, so they're able to just unilaterally do that. Whereas now we're in a more polarized climate, just numbers-wise. This is also a defense for data centers, which is to say that just because politicians were elected doesn't mean that policies change overnight. because there's still a mixed mandate out there, I would say. So first there's, you know, politicians have campaign rhetoric and then they have kind of rubber meets the road, you know, deal making reality. And so I think that that will somewhat probably soften. But then even to the extent that it doesn't soften at the federal level, I mean, we already, we have, you know, some obviously some senators and Congress people that are interested in proposing moratoriums legislation. But that has to get through Generally speaking has to get through a presidential veto And so that that that more polarized Issue makes it so that just because politicians are saying something doesn't mean it's going to happen per se But I also think that means that the federal government is not really a savior here because again that the government itself is is mixed now Um, so obviously the president has executive actions that he can do. Um, but those are constrained by the courts and those are constrained by, you know, Congress's legislation as we solve the tariffs. Um, uh, and so, uh, I think probably for the next two years, the situation is mixed and kind of muddles on, uh, and you know, obviously that put, we have another election and we'll see what happens. You know, the presidential veto could shift, um, uh, and By that point, we could already be having discussion around private sector demand for data centers drying up. So it is potential that the politicians won't even be a bottleneck at that point per se, that the market forces will already be slowing things down. Like I

mentioned, the hyperscalers, investors were already kind of looking at, say, Alphabet's quarterly earnings and saying, you're spending how much on this? So I think that the market's already kind of pointing in that direction, and we'll see how regulation follows.

SPEAKER_00: All right. I keep trying to get to these other topics, but you keep giving me gold to dig here on this. I'll try to wrap this up as quickly as possible, but I've got an alphabet or Google question for you in just a second. I'm going to ask you an unfair question, Lynn, because regardless of your answer, you're going to alienate half the audience here. What do you think we should be doing with the AI build out? In other words, should we be thinking about ratcheting it back? addressing the issues that data centers are having on municipalities and making sure that the code isn't going to evolve to kill us and all that stuff. Or is this an existential race where if we let China take the baton from us, we'll never catch up, we'll always be in a permanent secondary position, and we'll have basically handed the baton to a new country to be the world's dominant superpower.

SPEAKER_02: So my view is largely to let the private sector and local communities handle the build out. I think a private sector is already a good allocator of capital here. I do think that the US wants to have favorable regulations for building out its electrical grid and being conducive to being kind of pro business, pro data center, pro AI. I think that the idea that you can restrict AI is like an illusion because it'll just go elsewhere to go to China. So I do think that to the extent this is going to happen, we do want it here. I do think it's reasonable for local politicians. I mean, they're governing a specific area to say, hey, I mean, if a data center is going to come in. It's got to comply with newest regulations. It's got to comply with, you know, local environmental impacts, you know, impacts on water supply, making sure that they're paying away electricity, right? So they're not like a drag. And so that's largely a local concern that I, you know, I would defer to local politicians for. And I think the federal government... Obviously, you want to stay on top of it from a cybersecurity standpoint. I mean, that's been a big risk lately, and I think it's been a big risk until things are kind of solidified. But I think just like most other technologies, I think it's already going the way it's going. If I was a politician at the federal level, I would neither stand in the way of it, nor would I say that we have to

artificially gun it even faster. I would just say that we want capital and talent and tech and business to be here, which I think we're already doing and we just don't want to get in the way of that. All right. So I think it's a great answer. I'm going to push on it just a little bit more. And the reason why I'm doing this is because there are issues out there where there is no necessarily clean answer to it. And this may be one of them.

SPEAKER_00: So let's say following that approach, we start falling behind. In your mind, how existential is winning the AI race for us? Is it one where the government would then have to step in and say, look, I know it's imperfect, but we got to win this because the alternative is too unacceptable? Or would you say, well, we're going to try to do it right, and if China beats us, China beats us?

SPEAKER_02: I don't view it as existential in the boolean sense meaning that or the binary sense where if we're not number one we're last. I think that obviously China's massive advantage here is they have this massive electrical power and they also produce a lot of their own electronics not necessarily the high-end chips though and so I wouldn't say you know if we're behind on China on raw compute? Is that an existential problem for America? I would say no, I think, I mean, I mean, we have multiple other industries that I think are relevant. And AI being impactful is helpful because, you know, for example, medicine can get better. I mean, if you have just AI, just, you know, folding proteins, you know, 100 times faster than than human scientists and so forth, you're more likely to make breakthroughs. So I think it's important to

SPEAKER_00: not end up like Europe, where you don't really have AI companies and your power constraints. I thousand percent agree on that. I think, you know, they're almost going to be a vassal, and I hate to say this, it sounds offensive, but a vassal continent because you're going to basically need to beg your compute from everybody else. Yeah, so that's where I viewed as existential, which is you don't want zero or you don't want to be so far behind that it's like

SPEAKER_02: obviously a problem, but I think right now China and the US are in the top two slots. I think it's probably going to continue. Either way, that's a good place to be in. I wouldn't artificially try to say, hey, we

have to artificially compete with China to make sure we're somehow number one on arbitrary metrics. I think instead we want to have our own compute. We want to make sure our supply chains are resilient. We want to make sure that

SPEAKER_00: capital can go where capital wants to go because it's generally going there for a reason and I think that's largely already in place. I still have more questions about that but I'll beg off but I appreciate you going through that exploration with me because it's probably one of the biggest issues that's going to drive world events. internationally and domestically for at least the first couple of years. Just a quick question on Google. This one really surprised me. Google disappointed Wall Street with its last earnings report for one of the reasons why was because it showed that AI was stealing from its search revenue margins. That when you old fashioned way served up a bunch of sponsored blue links, people would click on them while they were looking for answers, and you would make money. Now, the AI search just gives you the answer right up front, and most people just take that answer and move on. To me, this was just a blatantly obvious risk a year or two ago when they started implementing Gemini on Google search results, but for some reason, nobody seemed to really care about it until right now.

SPEAKER_02: How much of an issue do you think this is for Google of this sort of cannibalism of its core business model? Longer term, I think it's an issue. So a couple years ago, I was on the other side, the more bull side, that I was not that worried within, say, a three-year time frame. on major cannibalization, especially given the valuations that Google was trading at the time, Alphabet. So given a couple of years ago when they were trading something like 120 a share, and then eventually they were higher than that, but still kind of conservative, they had a fortress balance sheet, they had multiple business lines. And my view was AI is absolutely cannibalizing search results, but it starts with the non-profitable search results. So for example, if you say, Napoleon Bonaparte's wife's name, right? Google doesn't make money from that. Nobody's monetizing. No one's monetizing that. So it doesn't matter if you ask Google or AI. Except Josephine.com, they're probably spending a couple of pennies. Yeah, I'm sure. But yeah, it's not it's not a money term. Whereas if you say plumber near me, right, that

that's that's where the money's at. Right. So so when you're when you're searching for something more monetizable and AI wasn't really taking from that. And so at my view was over time they certainly could but that wasn't really on the on the you know Kind of the intermediate call it two to three year term horizon, which was the correct take I mean, you know their search their search numbers kept doing well Like I said once once alphabet hit like 300 a share and you know, then and everything was great That's when I got more concerned Mostly because of the capex but then a smaller concern. I think is you know once you're at a higher valuation, manageable risks become more real, right? So if, you know, back when they were trading at like low 20s earnings multiple with a great balance sheet and a strong set of businesses, if they have slightly slower growth than expected, it's not the end of the world. But if they're already priced for perfection, then suddenly that becomes a really big deal. They've also, I mean, another part of my bold thesis from a couple of years ago was that YouTube is still growing. They own YouTube. And if anything, AI is going to proliferate video content because obviously, you know, AI chat bots, you know, obviously we're an early thing and then, you know, image, image creation. And now we're getting into the part where, you know, it does, it's not bad at making videos. So you can, you can extrapolate a couple of years ahead and assume it's only going to get better. I'm seeing a lot of AI like short films now on YouTube. Exactly. And so, I mean, do you, you probably do want to own. the biggest video platform out there, that's still a growing part of their business that offsets some of their search risk. But I do think that, especially at current valuations, risks do start to pile up for the company. So one other question around this. So Google, it has diversified its business over time, which is great. And a lot of smart people at Google, absolutely no doubt.

SPEAKER_00: But their core business model, the whole thing was built around was search. They had a monopoly on search. I don't care how people want to debate the actual definition of monopoly, but they basically had 93% to 97% market share in search for the past 15, 20 years. They are highly likely not going to have that percent market share in AI. They are fighting in a fight with a lot of other big companies that are capable of producing AI that is as good and in some cases better, depending upon the day. Who's winning the latest tests? How big of a threat, if at all, to Google do you think that is? Which is they're moving from an environment where

they were the market to now having to probably at best only own a slice of the AI market going forward.

SPEAKER_02: I think it's large. Again, I would segment by business. So I think their YouTube business does fine from it. I think their search business becomes more of that value stagnant type of business where they, you know, you hit a peak level and eventually just kind of, it gets over. The cash cow phase, yeah. Yeah, cash cow phase. And you don't, you know, invest in it aggressively and make sure you're shifting, which is what they're doing toward their cloud business. So they, in addition to running their own, you know, AI, just they host compute in general. So, you know, just cloud revenue. But again, they're in, you know, it all depends on how much they're making, but they're not a 97% market share anymore. There are other big players in that space, right? Yeah, I agree. And that's why I'm not currently bullish on hyperscalers because... Unlike the 2010s, where they all had kind of their own network effects, they had very kind of minimal reinvestment as a percentage of revenue. So they had fortress balance sheets. They were able to throw money at buybacks. Now they have to invest aggressively to keep up with each other, which from an investor standpoint is not exactly where I want to be. So I mean, that's why I'm with you there on not being bullish on most of these hyperscalers at current prices, alphabet included. OK.

SPEAKER_00: All right. I hate to say this, Lynn. We're going to have to get into more sort of lightning round with these other topics. I didn't expect AI to take as much as it did. I could easily have talked for you for an hour about some of these following topics too, but we'll make as much hay as we can. All right. Let's go to bonds first. So you've been publicly mentioning recently that I don't know if I'm a bond bull per se, but I'm not a bond bear the way that I used to be. What is the significance of that? I don't mean for Lynn Alden personally, but I mean for the fact that so much of the past 15 years was there is no alternative market where you had to go out on the risk curve to get a good return. Now there is an alternative. And so just naturally on the margin, more capital than in the past is going to shift to bonds versus equities. What do you see as the ramifications of that?

SPEAKER_02: I mean, I think that that can contribute to the risk of a flattish market that we discussed earlier, you know, the multi-year period of say major indices not necessarily climbing at the rate that they have been because, you know, like to your point, I mean, the 2010s when yields were super low, you know, money supply is growing at 7% and you're getting paid 2.5% on a 10-year. Right. It was just an awful trade. And it was even challenging to recommend it to seniors and other pools of capital that want that lower volatility that should be bond buyers. It was hard to say, hey, you actually should own bonds because the return profile was so weak. Right. And just to note, that's why we now have the highest percent equity exposure in seniors' portfolios that we've ever had. Yeah, and I think that was a kind of a rational move in that environment. But once you're looking at 5% yields, there is obviously an argument for especially lower volatility investors to seek out those yields. And even if they're concerned about inflation, they can do tips yields and lock in somewhat reasonable rates there. And so I do think that that, especially if they ratchet up a little higher, that does start sucking out of the equity market. which I think is not the end of the world, but I think that that does put some downward pressure on equities, all of us being equal. I don't like being a bond bowl. I'm a structural bond bear, rightly so. Is that because the train that's not stopping is basically bonds are always fighting the pernicious effects of inflation? Yeah, they're going up against 2 trillion deficits. They're going up against, you know, if you just run the math, dilution rate. So, you know, Money Spy is growing by, call it 6% currently a year. Historical average in the US is 7%. So if you're getting paid a 5% yield, you're still actually getting mildly diluted as like your share of dollars. And then depending on if you don't have them in a retirement account, you're then getting taxed. on your attempt to keep up with the dilution. So you're just treading water at a loss over the longer term. Now, obviously, if you're in capital preservation mode, that can make sense for a portion of a portfolio because you're not always guaranteed capital preservation elsewhere. And you can walk through the math a little bit. Like if you look at gold, Gold obviously pays you, if you just own it outright, it pays you zero yield. The supply growth rate of a fine gold, if you look at, say, the World Gold Council estimates and things like that, you'll get something like 1.5% a year. So it's obviously a much slower growing supply than dollars. So your kind of dilution rate as a gold investor is something like negative 1.5%. into the details of your if you

you know pay a custodian for security and all that because that's part of the cost but you're looking at like a mildly negative dilution rate which has historically worked out well because Productivity growth is a bigger number than that, meaning that we get we get more than one and a half percent better at making stuff. And that's why your gold coin, despite being gradually diluted relative to all gold, still buys as much or more than it did, you know, decades ago. And when bonds were trading at two point five percent with seven percent money supply growth, it means your your dilution rate was negative four and a half percent, which is pretty catastrophic over over, you know, five, five, ten years. Whereas when you're getting a five percent yield, especially in a retirement account, let's say, let's take out taxes for a second. If you're getting a 5% yield and money supply growth to 6%, you're actually in gold territory in terms of your dilution rate, which is why it goes from being an absolute no brainer to sell bonds and buy gold to more of a mixed outcome saying, hey, gold obviously is volatile. You know, there will be times in the future where bonds are a really bad buy again. But at the current time, you know, bonds do kind of compete with gold in terms of, you know, call it five to 10 year expected dilution rates, which is why I think that they gather some capital and, you know, why despite all the reasons to own gold, the reason is I think it's taking a breather here is because there actually are some alternatives on the market now.

SPEAKER_00: Okay. And then speaking of the market, will this happen? No guarantees. We don't know exactly when. But if we do end up having this sort of bear market that you and I are talking about, whether it's a sideways one or a more volatile one, all of a sudden, the 5% nominal return starts looking great to an equity market that is down for the year, right? Exactly. Yeah. And that was hard to make the case at lower yields and the other things going on. But yeah, going forward, I think that there will be years where bonds outperform stocks, which is I think a non-zero reason to own them. Okay. All right. I got to hop off bonds. I want to get one more topic in and then we'll get to kind of your thoughts just sort of on given the current market landscape, what assets do you favor and which ones would you stay away from? You've been writing recently about cash levels amongst Japanese households and you've been calling this sort of a Godzilla potential trade or potential situation. I'd love to have you expound on that

and I just want to note I've been talking with David Hay on this channel for a number of months about a thesis he has about Japan assets that I labeled the Godzilla trade and I'm curious how similar our trades are so let's have you

SPEAKER_02: sort of expound on what's got your attention right now? Well, it's been interesting. Obviously, there are a lot of concerns around what happens if Japan repatriates some of its capital. And I mean, there's been focuses on, you know, the average Japanese householder is very conservative with their investment approach. They have a large cash base, which has punished them over the past decade or more. And, you know, so some of that, you know, if local equities get more interesting to them, And it's actually been one of the better performing equity markets. The question is, where does that capital come from? Does it come out of their foreign holdings or does it come out of their their cash holdings? Because it's a cash rich society. So, you know, kind of the observation there is a lot of it is still bullish and potentially one of the other side of the coin is, you know, their big like pension funds. If you look at, you know, a decade ago, they were more domestic focused, whereas they've gone external for better returns. And, you know, if they have truly like currency crises or bond crises, they have the ability to repatriate some of that capital and just shift some of that more locally, which is why on average I keep fading the Japanese doom scenario. Generally, the area that always spooks me is Europe, not Japan. It's always kind of interesting to approach that from different angles, but I keep analyzing Japan for risks and coming away thinking that I'm fairly comfortable with the risk in Japan and in Japanese impact on global assets. Okay, so you and I do, we have named the same trade, the Godzilla trade, and what I've mentioned a number of times is you know Mike Green and his

SPEAKER_00: capital flows framework that he uses, and they have been given the market basically a persistent upwards bid just because of math, the way the capital flows work. And in many ways, Mike has said, I don't love it. I don't love that it's going on, but it's sort of like a juggernaut that you can't ignore. His analysis has suggested that it's responsible maybe for the predominance of why the markets have continued to just power higher over the past bunch of years. He calls those passive flows the giant

mindless robot. Whenever I talk to him, I always explore with him what could compromise the giant mindless robot. There are certain things like a really bad recession that there are tons of layoffs and then those retirement capital flows start going down. when David Hay started talking about what you're talking about, which is the repatriation of Japanese assets, but really Asian assets. This happens elsewhere in Asia, Korea being another good example of it. But Japan, people forget how phenomenally wealthy Japan got in the 80s. A lot of that wealth was then parked in US assets, not just in the capital markets, but also in real estate and all sorts of other things. and a lot of it is still here. So to your point, if the Japanese start repatriating their assets at a big enough scale, that's a big deal, and it starts compromising capital flows here. And so whenever I would talk to David, I would put up this image and say, who's going to win out, Godzilla or the giant mindless robot? The Godzilla trade could be big enough at some level of scale to actually defeat the giant mindless robot here. Is it going to? Who knows? there are both incentives underway. Like one of the reasons why Jan Banach and David and a few others at my recent conference really laid this out, when you look at how a number of countries now are buying less US treasuries than they were, it's not necessarily because they've lost faith in the dollar and they're dumping treasuries. It's just that they're getting a higher yield than they were in their domestic bond markets. And so all of a sudden it makes more sense for a lot of these people to just buy domestic bonds versus buying treasuries. So if that continues to happen, that could suck in US capital into their markets, and some of those markets like Korea have actually provided additional incentives where they've said, look, if you take international assets, particularly US assets, and bring them back home, we won't charge you any capital gain stacks on it. So if you start to see more of that, this thing really could snowball into sort of a Godzilla-sized problem for the US. I'm just curious, what kind of odds do you put on that right now? Is this just an intellectual thought exercise on your part or is this something that you're a little bit concerned about in a way that could impact your future forecasts for the S&P?

SPEAKER_02: So I think it becomes more of a risk when the prior discussion we had starts to happen, which is that the AI trade gets long in the truth in the tooth. I think that at that point, you risk having a perfect storm where if you get global market. capitalization, it is unusually shifted

to the US right now. So in Japan's bubble, it was very shifted toward Japan. Currently, it's very shifted toward the US. We have a disproportionate percentage of kind of global equity market cap. At the same time, US households, are more weighted toward equities than they usually are compared to other things that, you know, like real estate or compared to bonds compared to other assets. So both domestic and international is shoved into US markets largely for good reason, because it has been a very strong performing market, both in terms of price action and actual fundamentals. But when some of those fundamentals do start to dry up and a lot of the kind of the growth starts to slow down because, you know, we kind of build out what we need to. At the same time, when you have potential Asian currency mini-crisis and kind of more of an interest in repatriation, that becomes a one-two punch. So am I worried about it in 2027? Not necessarily. But yeah, the longer you go out, the more concerned I would be, which is part of why I have an international portfolio. that I do think you want to have, you want to have a, you know, kind of a line of sight on that because at some point I do think that the world and Americans themselves get over-indexed on U.S. equities and probably enter a more of a stagnation phase. Okay. Well,

SPEAKER_00: who knows, but we will keep tracking of this, folks. And obviously, if things start to build momentum here, we'll pull Lynn back in to call some audibles for us. Alright, Lynn, in wrapping up here, right now, given the current market environment post-election, post maybe letting the froth out with the big drop that we had last Thursday, as you look forward to, say, the next quarter or two,

SPEAKER_02: What kind of assets have your favor right now? Sounds like bonds a little bit. Well, I'm still a fairly young investor, so bonds don't thrill me in the way that they would if I was 30 years older. Which, by the way, that is the average age of folks watching this here, more like me, 55. So I would be increasingly uh interested in bonds uh at that at that target range um uh whereas just in the current kind of life cycle i'm not obviously bulled up on bonds uh but from from a strategic perspective uh they are less they used to be just clearly a bad trade Like they just were offering nothing compared to either equities or gold, right? So if you were both, you know, you're, you're bull, you go equities. If you're bearish, you go gold bonds just

had no, no, uh, hand at the table there. Uh, but at 5% yields, uh, you know, they, they start kind of inching their way into deserving a slice in a, in a conservative portfolio. I would say, um, I, I, you know, I think international still deserves a slice. Um, You know, there are kind of reasonable valuations out there. And then I've been involved in the private equity space. So, I mean, where I'm putting my own kind of time and capital, you know, we've founded a company called Orange Juice. So orangejuice.com even got the domain where we're going out and we're buying private businesses, kind of low, multiple cash flowing businesses into a permanent capital structure or company. And I think that Demographic speaking, there's a market for that because just like you have baby boomers obviously entering their retirement years, you have baby boomers that own businesses. Some of them are looking for exits in a way that private equity is not always suitable to do for a variety of reasons. That's where I've been putting some of my time and attention. There is a guy I've interviewed called Graham Weaver, which when we hop off here, I'll tell you more about them, but it sounds like you and your team at Orange Juice might benefit from.

SPEAKER_00: talking to him and his experience because that's kind of been his model for the past 30 years since he graduated business school with me. But I'm amazed you got orangejuice.com. That wasn't locked up by the big orange industry? You would think it would be, but yeah, we managed to get it. Wow, congrats. That's so cool. All right. You didn't really mention much there in terms of equities. Is that because in general, you think equities are somewhat richly valued here? Are there any sectors here that you think are worth looking at?

SPEAKER_02: So I'm still broadly bullish on U.S. and global equities. Obviously, if we revisit in 12 months, that might change. For example, we talked about how I think semiconductors are still reasonable. I think U.S. financials are currently still reasonable, right? So it's a variety of kind of like regional bank stocks, not the most interesting trade overall, but a pretty enticing earnings yield. And kind of I think, you know, their balance sheets are in decent shape. So I'm, for the most part, a growth at a reasonable price investor. So somewhere between value and growth when it comes to public equities. And whether you look in the US, whether you look in Latin America, whether you look in Japan, there are still, I think, plenty of

equities out there that are attractive. And the indices, I think, will... You know, I've described that we're in kind of a... a slightly run-and-hot environment with 7% of GDP deficits, which makes it hard to fade equities unless or until they hit kind of extremes, which I don't think we're at yet. Okay. All right. And then we haven't really talked about Bitcoin, certainly at all, and gold that much. What's your general take on those two? So I think gold I'm watching the 4,000 level to see if it can keep holding it. It briefly lost that pre-election. It's currently regained it. I think with gold what you want to see is you wanted to see it kind of hold the 4,000 line, build a new base there, and that starts to become bullish. So I'm kind of waiting to see mode for gold. I think it got over its skis at 5,000. Not in terms of being overvalued, but in terms of just being tactically overbought So I think the correction is healthy and I think you want to see it build a new foundation here much like it did, you know back at 2000 For whatever the next leg higher is for Bitcoin. I think I mean the fast money is already out You know, it's already it's already in the AI trade now and I think the fundamentals are still kind of interesting for a positive cycle of the next two to three years Okay, so fundamentals still interesting

SPEAKER_00: Great, because a lot of people are just asking, look, it's been languishing for super long this past week. It's gotten knocked back down to the mid-70s. It doesn't sound like it's not changing in any way materially your outlook for it. Yeah, if you look at the long-term logarithmic chart of just what the asset's done since inception, this is just part of a normal kind of down cycle. I think if anything, the

SPEAKER_02: the challenge was that the last two bull cycles have been kind of weak. And so I'm not worried about the bear cycle. It's more worried about just overall stagnation in the space. But I think that, you know, again, once the AI trade is just no longer giving the crazy returns that it was in terms of memory stocks, you know, the past 12 months or in terms of just other things, I think when capital goes out looking for things that are still valuable, I think

SPEAKER_00: Bitcoin with the fast money already out is a pretty attractive space for the next cycle. Okay. All right. We're going to leave it there. Lin, thank you so much. It's always such a joy, a pleasure, and an

educational experience getting to interview you. For folks that would like to follow you when you work in between now and your next appearance on this channel, where should they go?

SPEAKER_02: They can go to linaldin.com and see the research I do there. Or like I said, orangejuice.com is a fun project that we're working on and that investors might find interesting. Great. And to be an investor in Orange Juice, are there any requirements? Do you have to be an accredited investor? Does it open to anybody? That's for accredited investors. And currently, we're not raising capital at the moment, but we are taking interest.

SPEAKER_00: for when we might in the future do that. So there's obviously various regulations around capital raising, but people can check out the website and materials. All right. Well, count me interested. All right, folks. Well, please join me in thanking Lynn for giving so much of her time and expertise here today. Do that by hitting the like button and then clicking on the subscribe button below. So what was that little bell icon right next to it? and obviously if you would like to take action based on any of the insights that Lynn shared today, I recommend that most people watching this do that under the guidance and with the partnership of a good professional financial advisor. If you don't have a good one or you'd like to get a second opinion from one that thoughtful money thinks is good, feel free to consider scheduling a free consultation with one of the financial advisors that thoughtful money endorses. To do that just fill out the very short form at thoughtfulmoney.com. only takes a couple seconds to fill out the form. These consultations are totally free. There's no commitments involved. This is just a service these firms offer to be as helpful to as many regular investors like you as possible. Lynn, I can't thank you enough. Hey, when is your next book coming out? No set date. It's probably next year in 2027 is what we're aiming for. Okay. Well, when that comes out, we'll have you back on and you can let folks know how to get that. Alright, Lynn, thanks so much. Hope to see you again soon. Thank you. Everybody else, thanks so much for watching.